

TENTATIVE RULINGS

**DEPT. C-16
(657-622-5216)**

**Judge David A. Hoffer
September 25, 2023**

These are the Court's tentative rulings. They may become orders if the parties do not appear at the hearing. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

If a party intends to submit on the Court's tentative ruling, please call the Court Clerk to inform the court. If both parties submit, the tentative ruling will then become the order of the Court.

APPEARANCES: Department C16 conducts non-evidentiary proceedings, such as law and motion, remotely by Zoom videoconference. All counsel and self-represented parties appearing for such hearings should check-in online through the Court's civil video appearance website at <https://www.occourts.org/media-relations/civil.html> prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and an instructional video are available on the court's website. All remote video participants shall comply with the Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also posted online at <https://www.occourts.org/media-relations/aci.html>. A party choosing to appear in person can do so by appearing in the courtroom on the date/time of the initial appearance.

Court Reporters: Parties must provide their own remote court reporters (unless they have a fee waiver). Parties must comply with the Court's policy on the use of privately retained court reporters which can be found at:

- Civil Court Reporter Pooling; and
- Court Reporter Interpreter Services

THE PARTIES ARE PROHIBITED BY RULE OF COURT AND LOCAL RULE FROM PHOTOGRAPHING, FILMING, RECORDING, OR BROADCASTING THIS COURT SESSION.

#	Case Name	Tentative
1	30-2018-01020192 Shiokari vs. Shiokari	Before the court are the following motions: (1) motion to direct the court-appointed Receiver, Stephen J. Donell ("Receiver") to refrain from selling June Lake Condominium filed by Plaintiffs Nobuko Shiokari and Kenneth Shiokari (collectively "Plaintiffs"); (2) motion of Receiver for an order authorizing Receiver to sell real property and confirming sale of 319 Lemon Creek Drive and 20241 Valley Blvd. in

		Walnut (“Walnut Property”); (3) motion of Receiver for an order authorizing Receiver to sell real property and confirming sale of 16650 S. Harbor Blvd. in Fountain Valley (“Fountain Valley Property”); (4) motion for joinder in Receiver’s motion to confirm sale of Fountain Valley Property filed by Wind Water, Inc. (“Wind Water”); and (5) request to conduct overbid procedure pursuant to C.C.P. § 701.550, et seq., filed by RMG Group, L.P. and John Gupta (collectively “RMG”). Plaintiffs’ motion, the Receiver’s sale confirmation motions, and the motion for joinder are GRANTED. RMG’s request for an overbid procedure is DENIED. <u>Plaintiffs’ Motion</u> Plaintiffs seek an order directing the Receiver to refrain from selling the June Lake Condominium (“June Lake Condo”) owned by The Tomko Limited Partnership (“Tomko”), which Plaintiffs state is a cherished family vacation home. The court has “broad discretion” and “full power” to order the Receiver to manage the property “for the best interest of the parties concerned.” (See <i>Hillman v. Stults</i> (1968), 263 Cal.App.2d 848, 876; <i>People v. Riverside Univ.</i> (1973) 35 Cal.App.3d 572, 583.) In lieu of a public sale, Plaintiffs propose that the Court direct the Receiver to include the June Lake Condo in his final accounting and reconciliation of accounts as between Tomko’s partners, which means applying the 15% interest in said property owned by defendant David Shiokari (“David”) to the judgment entered against David and in favor of Tomko on September 8, 2020. Given it appears no party is objecting to Plaintiffs’ request, the Court finds Plaintiffs’ request to be reasonable and for the best interest of the parties concerned. The motion is thus GRANTED. Counsel for Plaintiffs is to prepare a proposed order and is to give notice of this ruling. <u>Motions Regarding Walnut Property and Fountain Valley Property</u> If authorized by court order, receivers may sell any property in their possession, although the sale is not final until confirmed by the court. (Code Civ. Proc., §§ 568, 568.5.) Confirmation will generally be granted if it is shown that the sale was necessary for the estate, and fair to the respective
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		parties. (<i>Cal-American Income Property Fund VII v. Brown Develop. Corp.</i> (1982) 138 Cal.App.3d 268, 274; <i>People v. Stark</i> (2005) 131 Cal.App.4th 184, 202.) A court has the power to approve or ratify a sale conducted in a manner different from the specified statutory procedure. (<i>People v. Riverside Univ.</i> (1973) 35 Cal.App.3d 572, 582-583.) Where there is no evidence of fraud, unfairness or oppression in the sale, the court has wide discretion in confirming a judicial sale. (<i>Id.</i> at 582.) “[U]nless regulated by statute, the court has full power to order the receiver to dispose of property in such a manner as the court may deem to be for the best interest of the parties concerned and the advice of the receiver and his opinion in regard to the value of the property, the manner, time and place of its disposition are entitled to great respect and weight.” (<i>Id.</i> at 583.) Here, the Receiver, Plaintiffs and the proposed buyers for the properties, Arcadia Town Center, LLC and Wind Water, submit that confirming the sale of the properties to said buyers is in the best interests of the parties concerned and the Receivership estate, while RMG argues that allowing an overbid process for the properties is in the best interest of the Receivership estate. The Court has reviewed the arguments and evidence presented and determines that a sale of the subject properties on the terms proposed by the Receiver is appropriate under the circumstances. The Receiver provides sufficient justification for accepting the respective offers on both properties and for recommending against an overbid process. With respect to the Walnut Property, RMG never submitted an offer or participated in the bidding process for said property. They vaguely state they are interested in purchasing the property and want to participate in any overbidding process, but they offer no evidence to demonstrate that any offer they submit would be in the best interests of the Receivership estate. All evidence submitted regarding their financials and communications with the Receiver’s broker is in connection with their offer to purchase the Fountain Valley Property. Further, as reflected in the Receiver’s motion, the Walnut Property was extensively marketed, numerous offers were received, and Arcadia Town Center, LLC’s offer was by far the highest offer made and well above the listing price. Thus, an overbid procedure does not appear necessary here
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		when considering both fairness to the parties and benefit to the Receivership estate. With respect to the Fountain Valley Property, RMG had an opportunity to submit an offer for the property and they chose to submit an offer well below asking price. While they argue they reasonably relied on advertising materials and communications that “strongly suggested overbids would be allowed,” nothing prevented them from submitting a higher offer at any time during the bidding process. Moreover, the Receiver’s broker informed RMG’s agent that the Receiver “is not sure if there will be an overbid process yet.” (Schechter Declaration in Support of Receiver’s Consolidated Reply, Ex. 3 [Email dated May 31, 2023].) Thus, RMG was on notice that an overbid process would potentially not occur. Further, Wind Water has expended substantial resources in reliance on the Purchase Agreement, which does not contain any provision contemplating an overbid procedure. (See Ex. B to Receiver’s Motion at ROA 1040; <i>see also</i>, ROA 1105.) Overall, the Court finds the equities do not weigh in favor of an overbid procedure. Additionally, as reflected in the Receiver’s motion and Consolidated Reply, the Fountain Valley Property was extensively marketed, with the Receiver’s broker fielding dozens of inquiries regarding a potential transaction. Contrary to RMG’s contention, the marketing efforts appear substantial. (See Michaels Declaration in Support of Receiver’s Motion, ¶¶ 3-4, and Exhibits E-F thereto [ROA 1040]; Schechter Declaration in Support of Receiver’s Consolidated Reply.) An overbid procedure thus does not appear necessary here when considering both fairness to the parties and benefit to the Receivership estate. RMG also failed to address the Receiver’s contention that RMG would need to close by October 15, 2023, due to their 1031 exchange, which is sooner than the Receiver states he is able to complete the transaction. In addition, with respect to both properties, there is no evidence of fraud, unfairness or oppression in the sales. Accordingly, the Receiver’s sale confirmation motions are GRANTED. Wind Water’s motion for joinder is GRANTED. RMG’s request for an overbid procedure for the properties is DENIED.
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2	30-2021-01214897 Veliz vs. Hyundai Motor America	Off Calendar
3	30-2021-01229674 Steichen vs. Joseph-Brown	A) Demurrers to Second Amended Complaint (“SAC”) Before the court are two demurrers to plaintiff David Steichen’s (“Plaintiff”) Second Amended Complaint (“SAC”). Though the demurrers were filed separately by defendants Bradley David Hatfield, M.D., (“Hatfield” individually) and Ahmed Badr, M.D. (“Defendants” with Hatfield for purposes of this ruling), they are both based upon the same argument that the allegations against Defendants are barred by the applicable statute of limitations. As such, the arguments and oppositions are essentially identical and the court will issue a combined ruling as to both Defendants’ demurrers. Pursuant to Civ. Proc. Code §§ 430.10(e) and 340.5, both demurrers are SUSTAINED without leave to amend. “A complaint showing on its face the cause of action is barred by the statute of limitations is subject to general demurrer.” (<i>Iverson, Yoakum, Papiano & Hatch v. Berwald</i> (1999) 76 Cal. App. 4th 990, 995.) “In an action for injury or death against a health care provider based upon such person's alleged professional negligence, the time for the commencement of action shall be three years after the date of injury or one year after the plaintiff discovers, or through the use of reasonable diligence should have discovered, the injury, whichever occurs first. . .” (Civ. Proc. Code § 340.5.) Plaintiff received emergency surgery to remove/treat purported colon cancer on 09/11/20. (SAC ¶ 2.) Plaintiff became aware of the misdiagnosis of colon cancer in March 2021. (SAC ¶ 10.) Plaintiff therefore had one-year from March 2021 (the lesser of the two limitation periods) to file his complaint in this action. Plaintiff’s initial complaint was timely filed on 11/02/21. Plaintiff added Defendants to this action on 02/08/23. (ROA #118.)